# Practice workbook · Preparing and correcting a manufacturing account

Sorting a manufacturer's costs into prime cost, factory overheads and the income statement, preparing the manufacturing account to production cost, and correcting a draft.

13 question parts: 1 worked-example retry and 12 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-FS-11

# 1. Question 1 · part b · 11 marks

2023 JUN · Paper 02

Worked-example retry · Attempt part b only.

**1** (a) Explain the difference between the three types of inventories: raw materials, work in progress and finished goods.

**(3)**

Dingle provided the following information for the year ended 31 January 2023.

| | 1 February 2022 $ | 31 January 2023 $ |
|---|---|---|
| Factory machinery | | |
| – cost | 89 000 | 128 000 |
| – provision for depreciation | 40 500 | **To be calculated** |
| Office equipment | | |
| – cost | 36 000 | 36 000 |
| – provision for depreciation | 9 000 | **To be calculated** |
| Inventory | | |
| – raw materials | 21 200 | 23 600 |
| – work in progress | 19 100 | 18 400 |
| – finished goods | 23 000 | 31 750 |

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# 1. Question 1 · part b · 11 marks

2023 JUN · Paper 02

Worked-example retry · Attempt part b only.

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| | 31 January 2023<br>$ |
|---|---|
| Other payables – factory power | 3 300 |
| Other receivables – factory supervisor's wages | 830 |
| Factory power paid | 38 200 |
| General expenses | 36 000 |
| Insurance | 7 800 |
| Purchases of raw materials | 198 045 |
| Rent | 46 000 |
| Revenue | 729 595 |
| Royalties | 41 300 |
| Wages paid<br>– production staff<br>– factory supervisor<br>– administration staff | <br>89 700<br>24 000<br>16 590 |

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Rent and insurance are apportioned 80% to the factory and 20% to administration.

General expenses are apportioned 90% to the factory and 10% to administration.

Depreciation is charged on:

- factory machinery at 15% per annum using the straight line method
- office equipment at 25% per annum using the reducing balance method.

A full year's depreciation is charged in the year of purchase.

# 1. Question 1 · part b · 11 marks

2023 JUN · Paper 02

Worked-example retry · Attempt part b only.

(b) Prepare the manufacturing account for the year ended 31 January 2023.

(11)

**Dingle**
**Manufacturing account for the year ended 31 January 2023**

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# 1. Question 1 · part b · 11 marks

2023 JUN · Paper 02

Worked-example retry · Attempt part b only.

(c) Prepare the income statement for the year ended 31 January 2023.

(9)

**Dingle**
**Income statement for the year ended 31 January 2023**

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# 1. Question 1 · part b · 11 marks · Working and answer

Working and answer

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## 2. Question 2 · part a · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

**2** (a) Identify, by indicating with a tick (✓), where in the financial statements each item would be shown.

The first item has been completed for you.

(6)

| Item | Manufacturing account | Income statement | Statement of financial position |
|---|---|---|---|
| Purchase of raw materials | ✓ | | |
| Accumulated depreciation – plant and machinery | | | |
| Carriage outwards | | | |
| Factory supervisor's salary | | | |
| Purchase of finished goods | | | |
| Returns inwards | | | |
| Royalties paid | | | |

Dumadi, a manufacturer, provided the following information.

| At 1 April 2018 | $ |
|---|---|
| Inventories | |
| Raw materials | 12 500 |
| Work in progress | 3 600 |
| Finished goods | 5 500 |
| Plant and machinery | |
| Cost | 112 400 |
| Accumulated depreciation | 65 400 |
| **At 31 March 2019** | |
| Prime cost | 274 410 |
| Indirect factory wages | 16 320 |
| Factory light, heat and power | 9 620 |
| Other receivables – rent and rates | 1 800 |
| Rent, rates and insurance | 37 800 |
| Inventories | |
| Raw materials | 9 200 |
| Work in progress | 3 200 |
| Finished goods | 8 400 |

- Rent, rates and insurance are apportioned 70% to the factory and 30% to the office.
- Depreciation is provided on plant and machinery at 20% per annum using the reducing balance method.

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## 2. Question 2 · part a · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

(b) Prepare the manufacturing account for the year ended 31 March 2019 starting with the prime cost.

(9)

**Dumadi**
**Manufacturing account for the year ended 31 March 2019**

| | $ |
|---|---|
| Prime cost | 274 410 |

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## 2. Question 2 · part a · 6 marks · Working and answer

Working and answer

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## 3. Question 1 · part a · 6 marks

2023 JAN · Paper 02

Further practice · Attempt part a only.

**1** (a) State, indicating with a tick (✓), where each item will be shown in the financial statements of a manufacturer.

**(6)**

| | Manufacturing account | | Income statement | |
|---|---|---|---|---|
| | **Prime cost** | **Factory overheads** | **Income** | **Expenditure** |
| Wages – production staff | | | | |
| Wages – office staff | | | | |
| Wages – factory supervisor | | | | |
| Carriage outwards | | | | |
| Decrease in provision for irrecoverable debts | | | | |
| Royalties paid | | | | |

Bella and Chand are in partnership sharing profits and losses equally. They provided the following information at 30 September 2022.

| | $ |
|---|---|
| Capital Accounts | |
| Bella | 50 000 |
| Chand | 50 000 |
| Current Accounts | |
| Bella | 10 500 |
| Chand | 3 450 |
| Property, plant and equipment | |
| Cost | 65 000 |
| Provision for depreciation | 18 050 |
| Provision for irrecoverable debts | 380 |
| Bank | 4 775 |
| Inventory | 38 800 |
| Other payables | 430 |
| Petty cash | 125 |
| Trade payables | 3 490 |
| Trade receivables | 27 600 |

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## 3. Question 1 · part a · 6 marks

2023 JAN · Paper 02

Further practice · Attempt part a only.

(b) Prepare the statement of financial position at 30 September 2022.

(12)

**Bella and Chand**
**Statement of financial position at 30 September 2022**

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## 3. Question 1 · part a · 6 marks · Working and answer

Working and answer

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# 4. Question 2 · part b · 9 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

**2** (a) Identify, by indicating with a tick (✓), where in the financial statements each item would be shown.

The first item has been completed for you.

(6)

| Item | Manufacturing account | Income statement | Statement of financial position |
|---|---|---|---|
| Purchase of raw materials | ✓ | | |
| Accumulated depreciation – plant and machinery | | | |
| Carriage outwards | | | |
| Factory supervisor's salary | | | |
| Purchase of finished goods | | | |
| Returns inwards | | | |
| Royalties paid | | | |

Dumadi, a manufacturer, provided the following information.

| At 1 April 2018 | $ |
|---|---|
| Inventories | |
| Raw materials | 12 500 |
| Work in progress | 3 600 |
| Finished goods | 5 500 |
| Plant and machinery | |
| Cost | 112 400 |
| Accumulated depreciation | 65 400 |
| **At 31 March 2019** | |
| Prime cost | 274 410 |
| Indirect factory wages | 16 320 |
| Factory light, heat and power | 9 620 |
| Other receivables – rent and rates | 1 800 |
| Rent, rates and insurance | 37 800 |
| Inventories | |
| Raw materials | 9 200 |
| Work in progress | 3 200 |
| Finished goods | 8 400 |

- Rent, rates and insurance are apportioned 70% to the factory and 30% to the office.
- Depreciation is provided on plant and machinery at 20% per annum using the reducing balance method.

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## 4. Question 2 · part b · 9 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

(b) Prepare the manufacturing account for the year ended 31 March 2019 starting with the prime cost.

(9)

**Dumadi**
**Manufacturing account for the year ended 31 March 2019**

| | $ |
|---|---|
| Prime cost | 274 410 |

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# 4. Question 2 · part b · 9 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

(c) Complete the table, by indicating with a tick (✓) the effect each transaction would have on the profit for the year of a manufacturer.

(3)

| | Increase | Decrease | No effect |
|---|---|---|---|
| Purchase of plant and machinery | | | |
| Increase in the allowance for doubtful debts | | | |
| Increase in the closing inventory of finished goods | | | |

(d) Discuss the reasons why Dumadi uses the reducing balance method to depreciate his plant and machinery rather than the straight line method.

(5)

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# 4. Question 2 · part b · 9 marks · Working and answer

Working and answer

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## 5. Question 2 · part b · 11 marks

2020 JAN · Paper 02

Further practice · Attempt part b only.

**2** Jeff is a manufacturer of motor vehicles.

(a) Define the following terms:

(3)

raw materials

work in progress

finished goods.

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## 5. Question 2 · part b · 11 marks

2020 JAN · Paper 02

Further practice · Attempt part b only.

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**QUESTION 2 (b) BEGINS ON THE NEXT PAGE.**

## 5. Question 2 · part b · 11 marks

2020 JAN · Paper 02

Further practice · Attempt part b only.

Jeff provided the following information for the year ended 31 December 2019.

| | 1 January $ | 31 December $ |
|---|---|---|
| Inventory | | |
| Finished goods | 25 500 | 31 750 |
| Raw materials | 18 750 | 16 250 |
| Work in progress | 21 570 | 18 590 |
| Factory machinery | | |
| Cost | 90 000 | 90 000 |
| Provision for depreciation | 43 920 | **To be calculated** |
| Carriage inwards | | 8 955 |
| Insurance | | 12 500 |
| Heat, light and power | | 37 250 |
| Purchases of raw materials | | 238 795 |
| Production wages | | 98 000 |
| Supervisor wages | | 28 575 |
| Royalties | | 50 000 |

- Insurance, heat, light and power are apportioned between the factory and the office in the ratio of 80:20
- Heat, light and power paid in advance, $1 750
- Production wages for workers owing, $1 250
- Supervisor wages owing, $2 325
- Depreciation for factory machinery is charged at 20% per annum using the reducing balance method.

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## 5. Question 2 · part b · 11 marks

2020 JAN · Paper 02

Further practice · Attempt part b only.

(b) Prepare the manufacturing account for the year ended 31 December 2019.

**(11)**

**Jeff**

**Manufacturing account for the year ended 31 December 2019**

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## 5. Question 2 · part b · 11 marks

2020 JAN · Paper 02

Further practice · Attempt part b only.

(c) State, indicating with a tick, (✓), where **each** item will be shown in the statement of financial position.

**(6)**

| | Non-current assets | Current assets | Non-current liabilities | Current liabilities |
|---|---|---|---|---|
| Accumulated depreciation | | | | |
| Bank loan 2026 | | | | |
| Work in progress | | | | |
| Bank overdraft | | | | |
| Other receivables | | | | |
| Provision for irrecoverable debts | | | | |

(d) Evaluate why it is necessary for a business to account for **other receivables** and **other payables**.

**(5)**

**(Total for Question 2 = 25 marks)**

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## 5. Question 2 · part b · 11 marks · Working and answer

Working and answer

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# 6. Question 2 · part a · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part a only.

**2** Hyat, a manufacturer, provided the following information for the year ended 31 December 2019.

| | 1 January $ | 31 December $ |
|---|---|---|
| Factory machinery | | |
| Cost | 40 000 | 40 000 |
| Accumulated depreciation | 14 400 | **To be calculated** |
| Inventory | | |
| Finished goods | 4 730 | 5 180 |
| Work in progress | 1 370 | 1 450 |
| Administration expenses | | 13 475 |
| Wages and salaries | | |
| Factory indirect | | 15 000 |
| Office | | 5 000 |
| Rent, rates and power | | |
| Factory | | 4 500 |
| Office | | 1 500 |
| Revenue | | 68 000 |

- Factory indirect wages of $250 were owing.
- Administration expenses of $1 750 were paid in advance.
- Depreciation is charged on factory machinery at 20% per annum using the reducing balance method.

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## 6. Question 2 · part a · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part a only.

Hyat has already calculated the prime cost as shown.

(a) Complete the manufacturing account for the year ended 31 December 2019.

(6)

**Hyat**
**Manufacturing account for the year ended 31 December 2019**

| | $ |
|---|---|
| **Prime cost** | **18 750** |

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7

Turn over

## 6. Question 2 · part a · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part a only.

(b) Prepare the income statement for the year ended 31 December 2019.

(9)

**Hyat**
**Income statement for the year ended 31 December 2019**

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## 6. Question 2 · part a · 6 marks · Working and answer

Working and answer

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## 7. Question 1 · part a · 15 marks

2021 JUN · Paper 02

Further practice · Attempt part a only.

**1** Leo, a manufacturer, provided the following information for the year ended 31 March 2021.

| | 1 April 2020 $ | 31 March 2021 $ |
|---|---|---|
| Premises | | |
| Cost | 500 000 | 500 000 |
| Accumulated depreciation | 100 000 | **To be calculated** |
| Plant and machinery | | |
| Cost | 250 000 | 250 000 |
| Accumulated depreciation | 90 000 | **To be calculated** |
| Inventory | | |
| Raw materials | 56 000 | 44 000 |
| Work in progress | 64 000 | 68 400 |
| Finished goods | 108 000 | 112 000 |
| Carriage inwards on raw materials | | 1 300 |
| Carriage outwards | | 2 100 |
| Direct wages | | 82 400 |
| Electricity | | 18 000 |
| Factory insurance paid | | 9 000 |
| Indirect factory expenses | | 79 500 |
| Indirect wages paid | | 83 650 |
| Other payables – indirect wages | | 1 350 |
| Other receivables – factory insurance | | 500 |
| Purchases of raw materials | | 167 500 |
| Returns inwards | | 12 000 |
| Returns outwards | | 17 500 |
| Revenue | | 630 000 |
| Royalties | | 15 000 |

Plant and machinery is depreciated at 20% per annum using the reducing balance method.

Premises are depreciated at 10% per annum using the straight line method.

Both electricity and depreciation on premises are apportioned 75% to the factory.

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## 7. Question 1 · part a · 15 marks

2021 JUN · Paper 02

Further practice · Attempt part a only.

(a) Prepare the manufacturing account for the year ended 31 March 2021.

**(15)**

**Leo**
**Manufacturing account for the year ended 31 March 2021**

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*Turn over* ▶

## 7. Question 1 · part a · 15 marks

2021 JUN · Paper 02

Further practice · Attempt part a only.

(b) Prepare an extract of the income statement for the year ended 31 March 2021 showing the **trading section** only.

**(5)**

**Leo**
**Income statement for the year ended 31 March 2021**

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## 7. Question 1 · part a · 15 marks · Working and answer

Working and answer

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## 8. Question 1 · part a.i · 13 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part a.i only.

**1** Dina, a manufacturer, prepared the following **incorrect** manufacturing account for the year ended 31 March 2022 from the **correct** balances in her trial balance.

**Dina**
**Manufacturing account for the year ended 31 March 2022**

| | $ | $ |
|---|---|---|
| Revenue | 385 000 | |
| Depreciation charge – plant and machinery | 11 200 | |
| | | 373 800 |
| Cost of sales | | |
| Inventory of raw materials 31 March 2022 | 10 400 | |
| Carriage outwards | 360 | |
| | 10 040 | |
| Purchases of raw materials | 98 400 | |
| Inventory of raw materials 1 April 2021 | (9 640) | |
| | | (98 800) |
| **Prime cost** | | 275 000 |
| Factory overheads | | |
| Royalties | 1 780 | |
| Insurance | 4 000 | |
| Electricity | 9 750 | |
| Factory rent | 14 000 | |
| Direct wages | 38 400 | |
| Indirect wages | (25 700) | |
| | | (42 230) |
| Work in progress at 31 March 2022 | 4 430 | |
| Work in progress at 1 April 2021 | (4 200) | |
| Inventory of finished goods at 31 March 2022 | 5 850 | |
| Inventory of finished goods at 1 April 2021 | (6 750) | (670) |
| **Production cost** | | 232 100 |

**Additional information**

- No adjustment had been made for indirect wages owing of $1 300 and factory rent paid in advance of $2 000
- The depreciation charge did not include a full year's depreciation charge on a new machine costing $30 000. Machinery is depreciated at the rate of 20% per annum using the straight line method.
- Insurance and electricity should have been apportioned 80% to the factory and 20% to administration.

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## 8. Question 1 · part a.i · 13 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part a.i only.

(a) (i) Prepare the **corrected** manufacturing account for the year ended 31 March 2022.

**(13)**

**Dina**
**Manufacturing account for the year ended 31 March 2022**

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# 8. Question 1 · part a.i · 13 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part a.i only.

(ii) Prepare the income statement for the year ended 31 March 2022 showing the **trading section** only.

**(4)**

**Dina**
**Income statement for the year ended 31 March 2022**

Dina stated that she did not have a successful year as her gross profit percentage decreased by 5%.

The following ratios were also available.

| Ratio | 31 March | |
|---|---|---|
| | 2021 | 2022 |
| Profit for the year as a percentage of revenue | 7.56% | 8.93% |
| Return on capital employed | 14.85% | 16.67% |

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## 8. Question 1 · part a.i · 13 marks · Working and answer

Working and answer

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# 9. Question 1 · part a.i · 11 marks

2023 NOV · Paper 02

Further practice · Attempt part a.i only.

**1** Yola, a manufacturer, provided the following information for the year ended 31 March 2023.

| | 1 April 2022 $ | 31 March 2023 $ |
|---|---|---|
| Inventory | | |
| – raw materials | 12980 | 19170 |
| – work in progress | 12340 | 11170 |
| – finished goods | 20100 | 37800 |
| Carriage inwards | | 1610 |
| Carriage outwards | | 2390 |
| Electricity | | 15000 |
| Factory rent paid | | 69800 |
| Insurance | | 8000 |
| Other payables – factory supervisor | | 350 |
| Other receivables – factory rent | | 12400 |
| Production machinery | | |
| – cost | | 206500 |
| – provision for depreciation | | 81000 |
| Purchases – raw materials | | 186500 |
| Revenue | | 827500 |
| Royalties | | 12000 |
| Wages paid | | |
| – production | | 95600 |
| – factory supervisor | | 37400 |
| – administration | | 21500 |

Production machinery is depreciated at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase.

Electricity and insurance are apportioned 70% to the factory and 30% to administration.

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## 9. Question 1 · part a.i · 11 marks

2023 NOV · Paper 02

Further practice · Attempt part a.i only.

(a) Prepare, for the year ended 31 March 2023, the:

(i) manufacturing account

(11)

**Yola**
**Manufacturing Account for the year ended 31 March 2023**

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# 9. Question 1 · part a.i · 11 marks

2023 NOV · Paper 02

Further practice · Attempt part a.i only.

(ii) income statement.

(9)

**Yola**
**Income Statement for the year ended 31 March 2023**

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## 9. Question 1 · part a.i · 11 marks · Working and answer

Working and answer

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## 10. Question 2 · part b.i · 13 marks

2024 NOV · Paper 02

Further practice · Attempt part b.i only.

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**2** Haitai has been in business for a number of years manufacturing handmade chocolate.

On 1 July 2023, he formed a partnership with another chocolatier, Ming. They agreed to share profits and losses equally.

(a) State **two** reasons, **other than** an injection of capital, why a sole trader would wish to form a partnership with another trader.

**(2)**

1 .....

.....

2 .....

.....

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# 10. Question 2 · part b.i · 13 marks

2024 NOV · Paper 02

Further practice · Attempt part b.i only.

The partnership provided the following information for the year ended 30 June 2024.

| | $ |
|---|---|
| Carriage inwards | 42 500 |
| Direct expenses | 26 950 |
| Direct factory wages | 127 500 |
| Factory overheads | 138 000 |
| Factory supervisor's salary | 45 000 |
| Insurance paid | 34 000 |
| Inventory at 1 July 2023 | |
| Raw materials | 68 000 |
| Work in progress | 85 278 |
| Finished goods | 125 000 |
| Inventory at 30 June 2024 | |
| Raw materials | 72 000 |
| Work in progress | 96 750 |
| Finished goods | 145 000 |
| Non-current assets | |
| – Cost | 200 000 |
| – Provision for depreciation | 120 000 |
| Office expenses | 232 000 |
| Office salaries | 97 000 |
| Purchase of raw materials | 550 000 |
| Rent and rates paid | 190 000 |
| Revenue | 1 787 500 |

**Additional information**

- Non-current assets are depreciated at 10% per annum using the reducing balance method of depreciation.
- At 30 June 2024, the amount of rent and rates paid in advance was $2 500 and insurance owing was $1 325
- The partners decided to allocate all costs other than office expenses and office salaries to the factory.

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## 10. Question 2 · part b.i · 13 marks

2024 NOV · Paper 02

Further practice · Attempt part b.i only.

(b) (i) Prepare the manufacturing account for the year ended 30 June 2024.

**(13)**

**Haitai and Ming**
**Manufacturing account for the year ended 30 June 2024**

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# 10. Question 2 · part b.i · 13 marks

2024 NOV · Paper 02

Further practice · Attempt part b.i only.

Following completion of the manufacturing account the partnership was made aware that some of the costs allocated in full to the manufacturing division should have been apportioned in part to the administration department.

- Insurance and rent and rates should have been apportioned 80% to the factory and 20% to administration.
- The factory machinery accounted for 60% of all non-current assets.
- Carriage outwards accounted for 25% of the carriage inwards charge.

(ii) Calculate the corrected production cost after these adjustments have been made.

**(5)**

| | $ | $ |
|---|---|---|
| Draft production cost | | |
| | | |
| | | |
| | | |
| | | |
| Corrected production cost | | |

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## 10. Question 2 · part b.i · 13 marks · Working and answer

Working and answer

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# 11. Question 1 · part a · 12 marks

2025 JUN · Paper 02

Further practice · Attempt part a only.

**1** Josh, a manufacturer, provided the following information for the year ended 31 March 2025.

| Inventory | 1 April 2024 $ | 31 March 2025 $ |
|---|---|---|
| Raw materials | 12 630 | 16 350 |
| Work-in-progress | 11 850 | 13 270 |
| Finished goods | 20 500 | 31 110 |

| | $ |
|---|---|
| Non-current assets | |
| – cost | 145 800 |
| – provision for depreciation | 53 200 |
| Administrative expenses | 19 600 |
| Carriage outwards | 3 180 |
| Electricity | 12 600 |
| Insurance | 12 000 |
| Purchases | |
| – finished goods | 14 000 |
| – raw materials | 164 830 |
| Rent | 53 500 |
| Revenue | 502 500 |
| Royalties | 6 000 |
| Wages | |
| – administrative expenses | 29 600 |
| – factory supervisor | 22 500 |
| – production | 94 100 |

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# 11. Question 1 · part a · 12 marks

2025 JUN · Paper 02

Further practice · Attempt part a only.

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**Additional information at 31 March 2025**

- Electricity accrued was $1 400 and rent paid in advance was $8 900
- Non-current assets are depreciated at 15% per annum using the reducing balance method.
- Depreciation, rent, electricity and insurance are apportioned 80% to the factory and 20% to administrative expenses.

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# 11. Question 1 · part a · 12 marks

2025 JUN · Paper 02

Further practice · Attempt part a only.

(a) Prepare the manufacturing account for the year ended 31 March 2025.

**(12)**

**Josh**
**Manufacturing Account for the year ended 31 March 2025**

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## 11. Question 1 · part a · 12 marks

2025 JUN · Paper 02

Further practice · Attempt part a only.

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Turn over

## 11. Question 1 · part a · 12 marks

2025 JUN · Paper 02

Further practice · Attempt part a only.

(b) Prepare the income statement for the year ended 31 March 2025.

**Josh**
**Income Statement for the year ended 31 March 2025**

(13)

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## 11. Question 1 · part a · 12 marks · Working and answer

Working and answer

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## 12. Question 1 · part a.i · 15 marks

2025 NOV · Paper 02

Further practice · Attempt part a.i only.

**1** On 30 September 2025 Joleene, a manufacturer, provided the following information.

| | $ |
|---|---|
| Factory machinery at 1 October 2024 | |
| – Cost | 280 000 |
| – Provision for depreciation | 100 800 |
| Office equipment at 1 October 2024 | |
| – Cost | 50 000 |
| – Provision for depreciation | 18 000 |
| Inventory at 1 October 2024 | |
| – Raw materials | 48 900 |
| – Work-in-progress | 23 100 |
| – Finished goods | 12 870 |
| Inventory at 30 September 2025 | |
| – Raw materials | 54 320 |
| – Work-in-progress | 24 270 |
| – Finished goods | 10 850 |
| Direct factory expenses | 18 250 |
| Indirect factory expenses | 24 500 |
| Insurance | 32 000 |
| Lighting and heating | 50 000 |
| Machinery repairs | 1 880 |
| Purchases of finished goods | 11 930 |
| Purchases of raw materials | 134 020 |
| Rent and rates | 26 900 |
| Returns inwards | 32 100 |
| Returns outwards (finished goods) | 1 200 |
| Returns outwards (raw materials) | 4 500 |
| Revenue | 543 100 |
| Transport costs | 8 000 |
| Wages and salaries | 120 000 |

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## 12. Question 1 · part a.i · 15 marks

2025 NOV · Paper 02

Further practice · Attempt part a.i only.

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**Additional information at 30 September 2025**

- Transport costs are apportioned 80% to purchases of raw materials and 20% to delivery of finished goods to customers.
- Non-current assets are depreciated at 20% per annum on a reducing balance basis. During the year there were no purchases or disposals of non-current assets.
- Wages and salaries include the factory supervisor's salary of $35 000. The remainder is to be apportioned 30% to direct labour, 35% to indirect labour and 35% to office administration.
- Both insurance and lighting and heating are apportioned equally between manufacturing and administration.
- Rent and rates included a payment of $2 000 for the month of October 2025.
- Rent and rates are apportioned 75% to manufacturing and 25% to administration.
- During the year Joleene took for her own use raw materials, $500, and finished goods, $750

Space for workings

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## 12. Question 1 · part a.i · 15 marks

2025 NOV · Paper 02

Further practice · Attempt part a.i only.

(a) Prepare for the year ended 30 September 2025:

(i) the manufacturing account

(15)

**Joleene**
**Manufacturing account for the year ended 30 September 2025**

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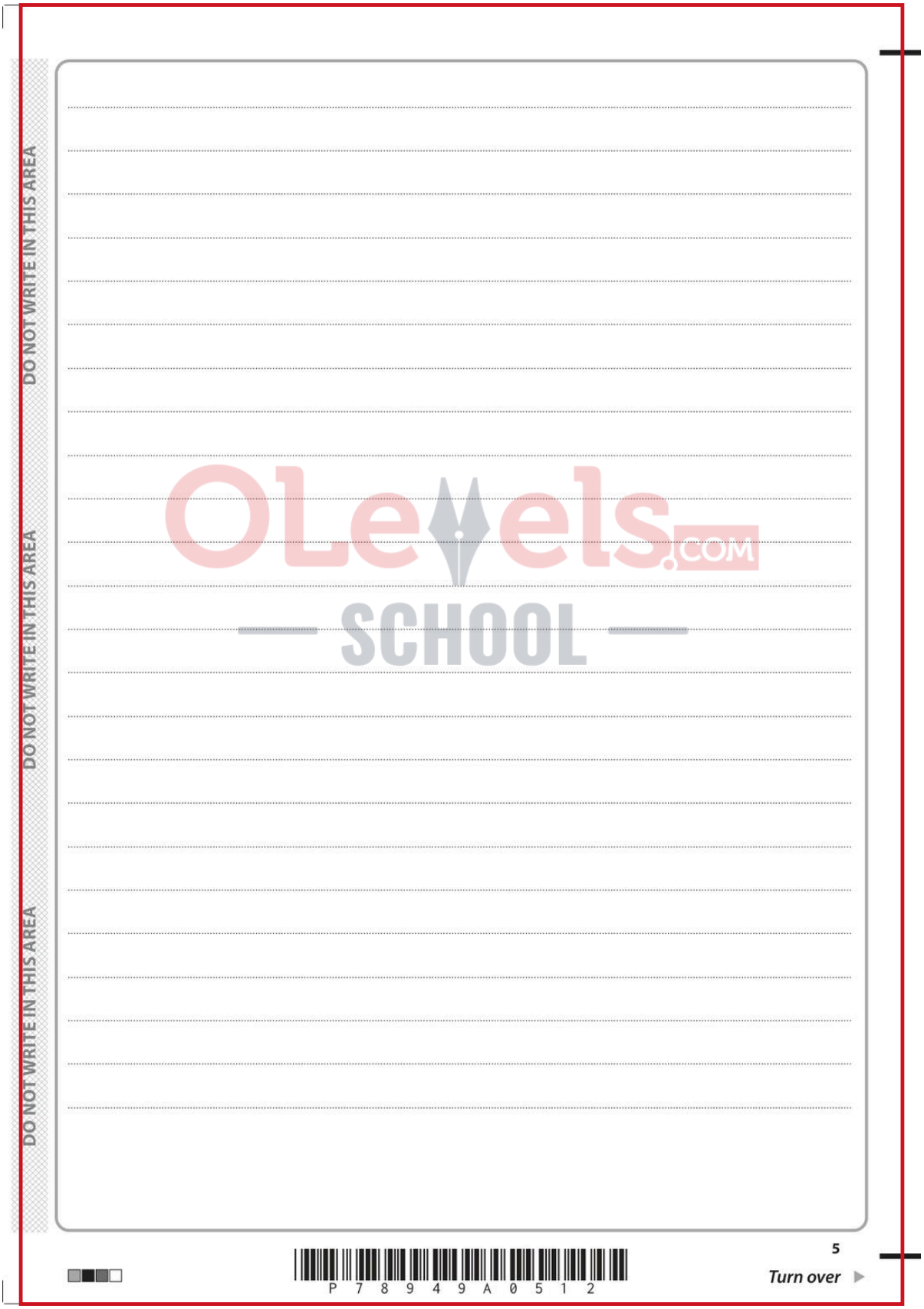


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## 12. Question 1 · part a.i · 15 marks

2025 NOV · Paper 02

Further practice · Attempt part a.i only.



## 12. Question 1 · part a.i · 15 marks

2025 NOV · Paper 02

Further practice · Attempt part a.i only.

(ii) an income statement extract showing the **trading section** only.

**(5)**

**Joleene**
**Income statement extract for the year ended 30 September 2025**

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## 12. Question 1 · part a.i · 15 marks · Working and answer

Working and answer

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## 13. Question 2 · part b.ii · 5 marks

2024 NOV · Paper 02

Further practice · Attempt part b.ii only.

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**2** Haitai has been in business for a number of years manufacturing handmade chocolate.

On 1 July 2023, he formed a partnership with another chocolatier, Ming. They agreed to share profits and losses equally.

(a) State **two** reasons, **other than** an injection of capital, why a sole trader would wish to form a partnership with another trader.

**(2)**

1 .....

.....

2 .....

.....

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# 13. Question 2 · part b.ii · 5 marks

2024 NOV · Paper 02

Further practice · Attempt part b.ii only.

The partnership provided the following information for the year ended 30 June 2024.

| | $ |
|---|---|
| Carriage inwards | 42 500 |
| Direct expenses | 26 950 |
| Direct factory wages | 127 500 |
| Factory overheads | 138 000 |
| Factory supervisor's salary | 45 000 |
| Insurance paid | 34 000 |
| Inventory at 1 July 2023 | |
| Raw materials | 68 000 |
| Work in progress | 85 278 |
| Finished goods | 125 000 |
| Inventory at 30 June 2024 | |
| Raw materials | 72 000 |
| Work in progress | 96 750 |
| Finished goods | 145 000 |
| Non-current assets | |
| – Cost | 200 000 |
| – Provision for depreciation | 120 000 |
| Office expenses | 232 000 |
| Office salaries | 97 000 |
| Purchase of raw materials | 550 000 |
| Rent and rates paid | 190 000 |
| Revenue | 1 787 500 |

**Additional information**

- Non-current assets are depreciated at 10% per annum using the reducing balance method of depreciation.
- At 30 June 2024, the amount of rent and rates paid in advance was $2 500 and insurance owing was $1 325
- The partners decided to allocate all costs other than office expenses and office salaries to the factory.

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## 13. Question 2 · part b.ii · 5 marks

2024 NOV · Paper 02

Further practice · Attempt part b.ii only.

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(b) (i) Prepare the manufacturing account for the year ended 30 June 2024.

**(13)**

**Haitai and Ming**
**Manufacturing account for the year ended 30 June 2024**

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# 13. Question 2 · part b.ii · 5 marks

2024 NOV · Paper 02

Further practice · Attempt part b.ii only.

Following completion of the manufacturing account the partnership was made aware that some of the costs allocated in full to the manufacturing division should have been apportioned in part to the administration department.

- Insurance and rent and rates should have been apportioned 80% to the factory and 20% to administration.
- The factory machinery accounted for 60% of all non-current assets.
- Carriage outwards accounted for 25% of the carriage inwards charge.

(ii) Calculate the corrected production cost after these adjustments have been made.

**(5)**

| | $ | $ |
|---|---|---|
| Draft production cost | | |
| | | |
| | | |
| | | |
| | | |
| Corrected production cost | | |

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## 13. Question 2 · part b.ii · 5 marks

2024 NOV · Paper 02

Further practice · Attempt part b.ii only.

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(c) When the partnership was formed the partners did not draw up a formal partnership agreement.

Advise the partners whether they should draw up a formal partnership agreement.

(5)

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**(Total for Question 2 = 25 marks)**

## 13. Question 2 · part b.ii · 5 marks · Working and answer

Working and answer

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